AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2017

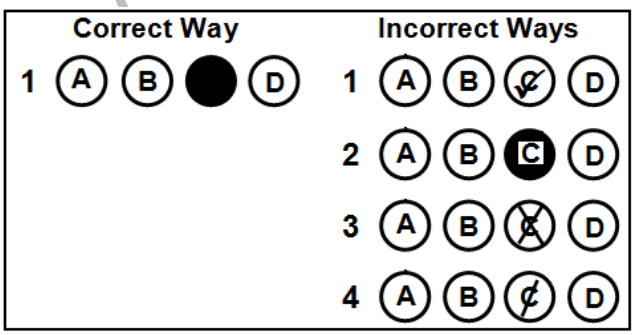
Banking Paper I

Time: 35 minutes Marks: 25

AKU-EB May Examination 2017

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.

1. Which of the given banks is an example of a statutory bank?



A



B



C



D

2. Al-Mehran Bank would like to launch a special credit scheme for short term loans to the fishing industry for purchasing yachts, fishing nets and other equipment. For client and customer facilitation, the bank would have to hire personnel in the

   A. cash department.
   B. legal department.
   C. loan recovery department.
   D. marketing and public relations department.

3. The commercial banks are key institutions in the economic development of a country as they assist the central bank to facilitate and monitor economic progression in various ways.

   Which of the following functions performed by a commercial bank will assist the central bank in achieving economic development?

   A. Promoting business ethics
   B. Helping to control money supply
   C. Providing advisory for promotion of trade
   D. Generating employment opportunities in the country

AKU-EB May Ex 201

4. Mr Ali is a student of grade XI. He decides to open a bank account to save his pocket money.

Which set of items would he have to take to the bank account opening officer, to open his account?

A	Copy of college ID Card	Parent's permission letter	NTN number
B	Money	Copy of parent's CNIC	Parent's NTN number
C	Copy of parent's CNIC	Copy of principal's CNIC	Money
D	B-form	Copy of parent's CNIC	Money

5. Central bank of a country is responsible for issuing currency notes. The central bank keeps a certain percent of either gold or silver against the issuance of currency notes.

The given method of issuance of currency notes is known as

A. fixed fiduciary system.
B. minimum reserve system.
C. maximum reserve system.
D. proportional reserve system.

6. Ms Amber is the owner of a school. She wants to open a bank account which will enable direct deposit of monthly fees of students. She does not want interest-based earnings but wants to have liberty to have a number of transactions as per need.

The account that Amber should open is

A. saving account.
B. current account.
C. home saving account.
D. fixed deposit account.

7. All of the following are the qualitative measures of central banks for controlling credit EXCEPT

A. publicity.
B. credit rationing.
C. selective control.
D. moral persuasion.

8. A client comes to a cashier at a bank with a cheque on which the word 'order' is written after the name of the payee. How should the cashier act?

A. Inform the client that this cheque is not valid for the payment.
B. Ask the client to sign on the back side of the cheque to endorse it.
C. Ask the client to prove his identity by demanding a copy of his CNIC.
D. Inform the client that the amount will be cleared into his bank account.

AKU-EB May Examination 2017

9.

i.	A written document signed by the borrower
ii.	Drawn in the name of the lender
iii.	Non-negotiable
iv.	No date of maturity is mentioned on the document
v.	Does not require any revenue stamp

The given characteristics are the features of a/ an

A. I owe you.
B. postal order.
C. money order.
D. promissory note.

10. Alpha Bank wrote an unconditional order of payment to Behbud Bank located in the same city. Behbud Bank was instructed to pay Rs 25,000 on demand or order to the payee Raheel.

The given instrument is an example of a

A. money order.
B. demand draft.
C. letter of credit.
D. promissory note.

11. Mr Karim drew a bill directing Mr Rahim to pay Rs 15,000 to Mr Fahim. The said bill is further transferred to Mr Salim.

In the given scenario, the drawee is

A. Mr Karim.
B. Mr Rahim.
C. Mr Fahim.
D. Mr Salim.

12. Mr Ahmed issued a negotiable instrument of Rs 50,000 to his son, Mr Basit. Mr Basit endorsed Rs 20,000 of this instrument to his supplier, Mr Dawood, and the remaining amount to another supplier, Mr Elaaf.

The type of endorsement practiced by Mr Basit in the given situation is known as

A. partial endorsement.
B. special endorsement.
C. restrictive endorsement.
D. sans recourse endorsement.

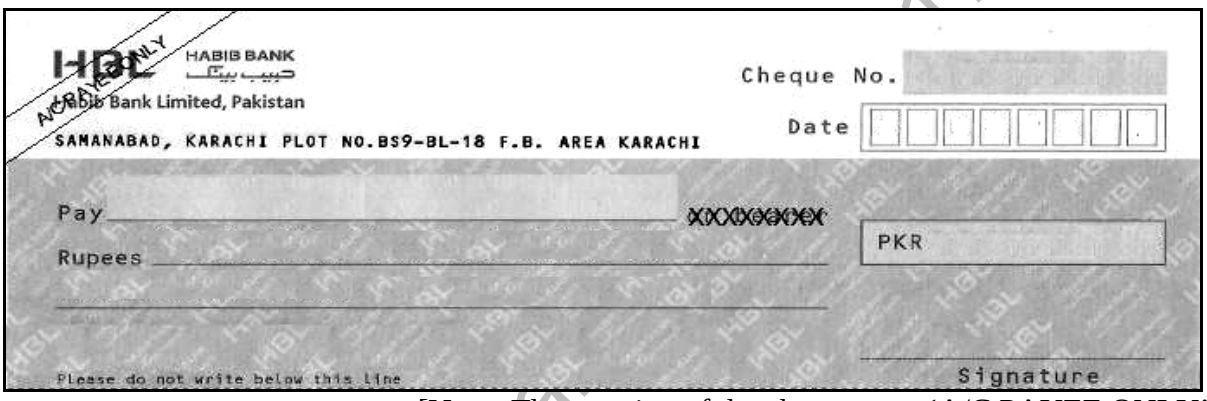
AKU-EB May Examination 2017

13. Mr Saeed received a cheque of Rs 12,000 from one of his customers. Accidently the cheque was torn into two pieces. Mr Saeed presented the cheque but the bank did not accept it.

The above cheque will be classified as a/ an

A. stale cheque.
B. open cheque.
C. forged cheque.
D. mutilated cheque.

14.



[**Note:** The crossing of the cheque says 'A/C PAYEE ONLY']

The crossing depicted on the given picture of a cheque is called

A. special crossing.
B. general crossing.
C. irregular crossing.
D. restrictive crossing.

15. Which of the following is NOT a party in the letter of credit (L/C)?

A. Importer
B. Exporter
C. Transporter
D. Buyer's bank

16. ABC Bank on behalf of Ahmed Limited Pakistan issued a letter of credit (L/C) to XYZ Bank of Iran in order to facilitate Jawed Limited. This letter of credit allows Jawed Limited to take money in advance only if needed.

The type of letter of credit (L/C) mentioned in the given case is known as a

A. special L/C.
B. revolving L/C.
C. red clause L/C.
D. green clause L/C.

AKU-EB May Exa... 17

17. Mr Alam wants to borrow Rs 1 million from a commercial bank. The bank has asked him to provide a good collateral security against the amount.

Which of the following represents the characteristics a good collateral security?

A. Liquidity, equitability, stability and measurability.
B. Liquidity, marketability, stability and transferability.
C. Liquidity, equitability, transferability and measurability.
D. Liquidity, transparency, transferability and measurability.

18. Atlas Bank is providing cash loans (cash advancing) to general public in exchange for the value of their assets such as gold jewellery or government securities. The loans are payable in 5 years instalment plan with mark up. Such loans can be classified as

A. secured loans.
B. demand loans.
C. unsecured loans.
D. cash credit loans.

19. In order to control money supply and bank credit, the State Bank of Pakistan reduced interest rate by 0.25 percent and brought it down to 5.75 percent in May 2016.

The above method of control of credit is known as

A. credit rationing.
B. bank rate policy.
C. change in margin.
D. bank reserve ratio.

20. Balance of Payment (BoP) is divided into three components, i.e. capital account, current account and financial account.

Which of the following transactions is a part of the current account of BoP?

A. Investment to and from abroad
B. Change in foreign exchange reserves
C. Merchandise transactions or visible trade
D. Borrowing and lending to and from abroad

21. Ahmed Traders in Pakistan is planning to sell a container of bed sheets to Bashir Sons in Saudia Arabia.

The MOST cost effective and secure mode of accepting payment for Ahmed Traders from the above will be

A. letter of credit (L/C).
B. cheque of a local bank.
C. telegraphic transfer (TT).
D. international money order.

EB May Examination 2017

22. In order to improve the deficit Balance of Payment (BoP) of country **Y**, the government has imposed trade restriction (quota) on buying finished goods from other countries.

The MOST likely impact of the above on the international trade activities of country **Y**, would be a/ an

A. decrease in imports of raw material.
B. increase in imports of finished goods.
C. decrease in production of raw material.
D. increase in the production of finished good.

23. Mr Aman has invested Rs 100,000 in National Investment Trust (NIT). The unit price (Net Asset Value) of NIT is Rs 50 each.

How many units will Mr Aman receive?

A. 1,500 units
B. 2,000 units
C. 2,200 units
D. 2,500 units

24. The institution that was replaced by Industrial Development Bank Pakistan (IDBP) was

A. National Investment Trust (NIT).
B. Pakistan Industrial Corporation (PIC).
C. Pakistan Industrial Finance Corporation (PIFC).
D. Pakistan Industrial Credit and Investment Corporation (PICIC).

25. All of the following are instruments of E-banking EXCEPT

A. cheque.
B. debit card.
C. credit card.
D. automatic teller machine (ATM).

AKUEB May Examination 2017

END OF PAPER

Please use this page for rough work

AKU-EB May Examination 2017